

Strategies for older people

Many people who are over sixty-five are sitting on Rs 1–3 lakh of medical covers. Bought in the era of lower medical costs and no five-star hospitals, these are quite inadequate for the current medical costs. We know that insurance companies resist insuring older people. What to do? The best way to get a larger cover is to use what is called a ‘top-up’ plan.

Think of this as a policy that will pay up after a certain threshold amount has been paid by you. Suppose you have an existing policy for Rs 3-lakh medical cover. Now you buy a top-up plan that gives you another Rs 5 lakhs of cover, but after a Rs 3-lakh deductible. If your medical bill is Rs 4 lakhs, you will pay Rs 3 lakhs from your basic policy and Rs 1 lakh from your top-up.

Even if you get admitted twice, with Rs 2 lakhs your bill each time, your costs still will be covered. Remember to buy a top-up that allows you to claim after the deductible is covered across different episodes in hospital. If you are unable to get even a top-up, targeting your own medical fund is your only option. Talk to your kids if you don’t have the surplus. Many of them will be able to get you on to their work-given group health insurance plans.

Critical illness and personal accident

Do I buy a critical illness and accident cover while I’m at it? Yes, you do. A critical illness, like cancer, is a disease where you may not spend too much time in hospital but have very large out-of-pocket expenses. The disease may also affect your ability to work for some time. Such illnesses are covered by a ‘critical illness’ cover. These policies pay a lump sum if you get any of the illness that are part of the contract.

Some policies cover up to twenty such illnesses including cancer, kidney failure, heart attack, major organ transplant, stroke, serious burns and end-stage diseases of the liver and lung. A Rs 10-lakh policy should cost between Rs 3,000 and Rs 5,000 roughly. Prices will change and differ according to company, features and the person buying the plan.